1.

KPI:

Current Ratio: used to measure a company's ability to pay off its short-term debts (due within a year) using its short-term assets. A ratio of 1.0 or higher suggests that the company can cover its bills.

Quick Ratio: the more conservative version of the current ratio. It excludes "Inventory" from the assets because selling inventory quickly can be difficult. It shows if a company can pay its bills using only "cash-like" assets.

Debt/Equity Ratio: It measures how much debt a company is using to finance its operations compared to money provided by its owners (shareholders). Higher numbers mean more risk for the company.

Calculations:

Current Ratio: Total Current Assets / Total Current Liabilities = $47,324 / $35,666 = 1.33

Quick Ratio: (Total Current Assets – Inventories) / Total Current Liabilities = ($47,324 - $12,198) / $35,666 = 0.98

Debt/Equity Ratio: Total Debt (long term debt + short term debt) / Total Equity = $50,011 ($46,282 + $3,729) / $99,270 = 0.50 or 50%

2.

Financial Metric	Intel 2024 calculation	Industry records	Status	Summary
Current Ratio	1.33	3.32	Below average	A ratio of 1.33 for each $1 debt signifies Intel is safe. As a result, Intel has a much more cash constraint than its competitors.
Quick Ratio	0.98	2.41	Below average	0.98 typically means that Intel has a less liquid cash for each $1, which indicates a tight cash position.
Debt/Equity Ratio	0.50	0.67	Above average	When 0.5 is less than 0.6 it is better than average as Intel carries a lower debt in relation to its equity which denotes its financial stability.

Analysis of the above results in depth:

Intel's liquidity ratios (quick and current ratios) are significantly lower than the industry average. Following could be concluded from this.

Difference: The industry average of current ratio measures about 3.32, whereas Intel's 2024 calculations reveal it measure 1.33 through which we can conclude that Intel has a very little cushion to cover when it comes to its short-term debts.

Risk: Quick Ratio of 0.98 says if Intel could not sell any of its current inventory, it would barely have enough liquid assets to pay its immediate bills. This tight liquidity could largely be due to Intel's massive spending on its "IDM 2.0" strategy, where it is building expensive new chip factories (fabs) globally.

Solvency: Intel is in a stronger position than the industry average shown.

Comparison: Intel's ratio is 0.50, which is pretty lower than the industry average of 0.67 it therefore means a lower debt-Equity ratio that suggests that intel relies more on its shareholder's money than borrowed money. This gives more borrowing power to Intel in future in case it needs cash to meet its expenses.

Intel's financial position vs peers - through the following points we can understand the Cash-heavy investment phase of intel:

Weak liquidity: It is observed that the current and quick ratio points out its daily cash flow being so thin as much of its money is being poured into long-term construction projects.

Structural Strength: Additionally, the organization's debt level seems manageable

3.

The semiconductor industry has a higher ratio not necessarily because they are twice as good but because they are riskier and slow. They require more current fuel in the tank to run their massive manufacturing engines through the uncertain market fluctuations.

In depth:

The semiconductor industry's average current ratio (3.32) is nearly double the market average (1.3) because of the unique way chipmakers operate. To understand why, we look at the specific "ingredients" that make up the **Current Assets** on their balance sheets.

a. **High-Value, Long-Cycle Inventory**

Unlike a grocery store that replenishes its milk inventory in days, it can take 3 to 4 months to produce just one silicon wafer.

•The "Work-in-Process" Trap: At any given time, billions of dollars' worth of inventory sits on the factory floor in various stages of completion. Because these "chip-in-progresses" are expensive to produce and take a long time to complete, they remain on the balance sheet for a much longer period.

•Component Complexity: This is not just raw material; this is high-end, high-tech material. A tray of high-end Artificial Intelligence chips can be worth more than a warehouse full of consumer goods.

b. Defensive Cash as War Chests

The semiconductor industry is known for its volatility, with periods of intense boom and bust cycles.

- High Fixed Costs: A chip fab costs billions of dollars to build and tens of millions of dollars a day to run. Even if sales drop, they can't just shut down the factory.
- Buffer: For a chip company to survive a one-year downturn in the semiconductor industry without going out of business, they maintain massive cash and cash equivalent buffers. This cash contributes to their current ratio, which would not be necessary in a more stable industry.

c. Supply Chain Prepayments

- Because of the high demand for specialized products such as ASML lithography equipment and rare gases, firms in the semiconductor industry are compelled to "prepay" their suppliers to guarantee their spot.
- Prepayment of expenses is shown as a current asset. In the normal market, most firms pay after delivery of the merchandise. In the highly competitive semiconductor industry, paying in advance sometimes becomes a necessity to avoid a production stoppage.

Asset Component	**Market Average (1.3)**	**Semiconductor Industry (3.32)**
Inventory	Low to Moderate (Fast turnover)	**Very High** (Long, expensive manufacturing)
Cash	Lean (Efficient use of capital)	**Heavy** (Strategic buffer for cycles)

Prepayments	Minimum	**Common** (Securing rare supply chain tools)

4. Common-Size balance sheet:

Assets				
	2024 amt	2024%	2023 amt	2023%
Current Assets				
cash equivalents	$ 8,249.00	4%	$ 7,079.00	4%
short-term investment	$ 13,813.00	7%	$ 17,955.00	9%
account recivable	$ 3,478.00	2%	$ 3,402.00	2%
inventories	$ 12,198.00	6%	$ 11,127.00	6%
other current assets	$ 9,586.00	5%	$ 3,706.00	2%
total current assets	**$ 47,324.00**	**24%**	**$ 43,269.00**	**23%**
property, plant	**$ 107,919.00**	**55%**	**$ 96,647.00**	**50%**
Equity investment	**$ 5,383.00**	**3%**	**$ 5,829.00**	**3%**
Goodwill	**$ 24,693.00**	**13%**	**$ 27,591.00**	**14%**
intangible assets	**$ 3,691.00**	**2%**	**$ 4,589.00**	**2%**
other long-term assets	**$ 7,475.00**	**4%**	**$ 13,647.00**	**7%**
total assets	**$ 196,485.00**	**100%**	**$191,572.00**	**100%**
Liabilities & Equity				
Current Liabilities				
Accounts Payable	$ 12,556.00	6%	$ 8,578.00	4%
Accrued compensation	$ 3,343.00	2%	$ 3,655.00	2%
Short-term Debt	$ 3,729.00	2%	$ 2,288.00	1%
Income tax payable	$ 1,756.00	1%	$ 1,107.00	1%
Other accrued liabilities	$ 14,282.00	7%	$ 12,425.00	6%
Total Current Liabilities	**$ 35,666.00**	**18%**	**$ 28,053.00**	**15%**
Debt	**$ 46,282.00**	**24%**	**$ 46,978.00**	**25%**
Other long-term liabilities	**$ 9,505.00**	**5%**	**$ 6,576.00**	**3%**
Stockholder's Equity	$ 50,949.00	26%	$ 36,649.00	19%
Accumulated comprehensive income	$ (711.00)	0%	$ (215.00)	0%
Retained Earnings	$ 49,032.00	25%	$ 69,156.00	36%
Total Intel stockholder's equity	**$ 99,270.00**	**51%**	**$105,590.00**	**55%**
Non-Controlling iterests	**$ 5,762.00**	**3%**	**$ 4,375.00**	**2%**
Total stockholder's equity	**$105,032.00**	**53%**	**$109,965.00**	**57%**
total liab & equity	**$196,485.00**	**100%**	**$191,572.00**	**100%**



Common%20size%20Excel%20Worksheet

Following are the trends observed:

1. Drop in Retained Earnings: In 2023 it measures $69,156 million whereas in 2024 it measures $49,032 million.
2. Expansion in physical assets: plant, property and equipment had a growth of 11.6 % from $96,647 million in 2023 to $107,919 million in 2024. This could be possible because of an aggressive capital investment.
3. Strong liquid cash position: Current assets (cash and cash equivalents) have a growth from $7,079 million to $8,249 million. This could possibly be achieved due to enhanced liquidity through Intel's cost reduction goals.
4. Change in liability structure: The current liabilities have risen from $28,053 million to $35,666 million on the other hand there is a decline in long-term debt from $46,978 million to $46,282 million.

Metric Used	**2023 (in millions)**	**2024 (in millions)**	**Trend**
Total Assets	$191,572	$196,485	+2.56%
Prop, plant & equip	$96,647	$107,919	+11.66%
Retained earnings	$69,156	$49,032	-29.1%
Total stockholder's equity	$109,965	$105,032	-4.49%